CHARTFANATICS × FABI

Market Theory Scalpir

A complete automation
Valentini's live trading m
Flow, two execution mo

500%+
12-MONTH RETURN

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NQ/ES
PRIMARY INSTRUMENTS

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01 — THEORETICAL FOUNDATION

Market Auction Theory (AMT)

Fabio's entire methodology is grounded in **Auction Market Theory** — the understanding that markets are two-sided auctions perpetually seeking price levels where both buyers and sellers agree to transact. This is a fundamentally different lens than pattern-based TA.

CORE AMT PRINCIPLE

Markets exist to facilitate trade. They alternate between **balance (equilibrium)** and **imbalance (directional movement)**. Equilibrium is the *default state* — imbalance is the exception. Most traders lose because they try to trade trend in a market that is 70–80% in equilibrium.

Why Most Traders Fail

❌ COMMON MISTAKES

- Following patterns without understanding market context
- Assuming breakouts will continue (most don't)
- Misidentifying FVGs as "ineficiency" — they're demand/supply imbalances
- Not understanding volume distribution at each price level
- Predicting instead of reading the market
- Trading trend models in equilibrium markets

✅ VALENTINI'S EDGE

- Always starts with *where* the market is, not *where* it's going
- Uses volume distribution to define value areas
- Identifies market state BEFORE choosing a model
- Reads live order aggression (not lagging indicators)
- Has two separate models for two separate states
- Wins 55-65% of trades — not 90%

The Auction Analogy

Think of the market as a live auction house. When an item is priced too high, buyers back off — price must fall to attract new demand. When priced too low, sellers withhold supply — price rises to find equilibrium. **Your job is to identify where the auction is: are we discovering new value (imbalance) or rejecting current prices back to the mean (reversion)?**

Two States, Two Models

Every session begins with a single mandatory question: **Is the market in balance or imbalance?** The answer determines which model you activate.

STATE A — IMBALANCE

DIRECTIONAL / TREND

- Price is accepting *new* value areas
- Aggressive volume on one side without absorption
- Low volume nodes being rapidly crossed
- Delta expanding in one direction
- Common during: post-news, gap opens, macro events

Model 1 Activated | NY Session Preferred

STATE B — BALANCE

EQUILIBRIUM / RANGE

- Price oscillates between established value boundaries
- High volume nodes acting as magnetic centres
- Buyers and sellers absorbing each other's aggression
- Delta reversing at range extremes
- Common during: London session, summer months, pre-data

Model 2 Activated | London Session Preferred

How to Classify the State

INDICATOR	BALANCED (MEAN REVERSION)	IMBALANCED (TREND)
Volume Profile	D-shaped or P-shaped (high-volume centre)	b-shaped or elongated (skewed)
Prior Day Range	Normal range, closed near VWAP/POC	Wide range, closed near extreme
Delta	Oscillating, diverging at extremes	Expanding, trending in one direction
Opening Drive	Opens inside prior value area	Opens outside or gaps beyond value area
Low Volume Nodes	Rarely hit, few LVNs in profile	Multiple LVNs being crossed rapidly

⚠️ **CRITICAL RULE**

Never apply Model 1 (Trend) in a balanced market. Never apply Model 2 (Mean Reversion) during strong directional imbalance. Misidentifying state is the #1 cause of losing streaks.

03 — ORDER FLOW FUNDAMENTALS

Reading the Market in

Real Time

Order flow is what separates Fabio's approach from traditional price action. It gives you data *in the present*, not in arrears. Fabio identifies three tiers of market analysis:

LAGGED ANALYSIS

Traditional indicators (MA, RSI, MACD). They confirm what already happened. Useful for context, not execution.

Low Edge

REAL-TIME ANALYSIS

Price action, candlestick patterns, structure. Useful but subjective — two traders see the same bar differently.

Medium Edge

LEADING ANALYSIS

Volume-based: footprint charts, cumulative delta, volume profile. Shows you *who* is winning the battle before price confirms it.

High Edge

Key Order Flow Concepts

A

Cumulative Delta (CVD)

Measures the running total of aggressive buyer volume minus aggressive seller volume. Rising CVD with rising price = healthy trend. Rising price with falling CVD = bearish divergence — sellers absorbing buys. This is your primary confirmation tool.

B

Volume at Price / Volume Profile

Shows how much volume traded at each price level. High Volume Nodes (HVN) = areas of acceptance — price tends to slow or reverse here. Low Volume Nodes (LVN) = rejection areas — price moves through quickly. Use LVNs as alert zones, not entries.

C

Footprint / Delta per Candle

Each candle shows the bid/ask split at every price tick. A candle closing up but with net negative delta = buyers paying ask, but sellers are equally aggressive = absorption. This signals a potential reversal, not continuation.

D

Order Size Filtering

Filter the footprint to show only large orders (≥30 contracts for NQ in NY session). Small orders are noise — institutional participants leave prints ≥30 contracts. Large clustered orders at a level = institutional interest. This is your "big player" detector.

E

Absorption vs. Aggression

Aggression = market orders hitting limit orders (price moves). **Absorption** = limit orders being added faster than market orders drain them (price stalls). When you see aggressive selling but price is NOT moving down — buyers are absorbing. This is a setup trigger.

ORDERFLOW ADVANTAGE

Fabio states: "Every additional 5% win rate from using Order Flow translates to significantly higher monthly returns. In a market where 90% of volume is algorithmic, seeing real-time institutional footprints is the closest thing to an unfair edge available to retail."

The 3-Step Pre-Trade Protocol

Before every trade, Fabio runs a mandatory 3-step analysis. This is the non-negotiable filter. No trade executes without all three steps confirmed.

STEP 1	STEP 2	STEP 3
Location →	Validation →	Aggression Trigger

1

Location — Where is the market in its auction?

Use the Volume Profile of the prior day and current session. Identify:

- **Point of Control (POC)**: Prior day's highest volume price. Magnetic centre.
- **Value Area High/Low (VAH/VAL)**: 70% of prior day's volume boundary. Defines "fair value."
- **Low Volume Nodes (LVN)**: Price rejection zones. Mark these as alert levels — not entries.
- **Market State**: Is price inside prior value area (balance) or outside it (imbalance)?

You must know if you're at the top, middle, or bottom of a distribution before entering any trade.

2

Validation — Is the directional thesis supported?

Check the current session's developing auction against the location reading:

- Is price accepting *above* or *below* the prior day's value area?
- Is the CVD diverging or confirming the price direction?
- Are there active limit order defences at your identified level (absorption building)?
- Identify likely **profit-taking zones**: prior session POC, session VAH/VAL, significant LVN above/below.

This step answers: "If I enter here, where is the market likely heading and why?"

3

Aggression Trigger — Is there institutional commitment?

Wait for the actual Order Flow trigger at your identified level:

- Large delta spike (≥30 contracts NQ / ≥15 contracts ES) at your alert level
- Footprint showing aggressive buyer/seller entering at the level
- CVD accelerating in the direction of the trade
- No counter-absorption — the opposing side is *not* defending

Only enter when you see the aggression. Never anticipate — confirm first. A tight stop can be placed 1–2 ticks above/below the aggression candle.

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05 — SESSION TIMING

When to Trade (and When to Stay Out)

SESSION	TIME (UTC+2 SAST)	MARKET BEHAVIOUR	MODEL	ACTION
Asian	02:00–10:00	Low volume, compressed ranges, accumulation	—	DO NOT TRADE
London Open	10:00–11:00	First hour: imbalanced, directional move often sets up	Model 1	Selective — wait for clarity
London Main	11:00–15:30	Balanced, mean reversion tendencies dominate	Model 2	Primary Model 2 Window
NY Open	15:30–17:30	High volatility, directional. First 20 min: unpredictable. Wait.	Model 1 / 2	Primary Model 1 Window
NY Main	17:30–21:00	Continuation or reversal. Best trend opportunities.	Model 1	Best Model 1 Window
After Market	21:00+	Low liquidity, gapped fills, overnight margin risk	—	CLOSE ALL — Do Not Hold

HARD RULE — NO OVERNIGHT POSITIONS

Fabio is explicit: close all futures positions by end of NY session. Overnight futures margin requirements and low liquidity gaps make holding overnight a capital-destroying habit. This is non-negotiable in the automation logic.

NY OPEN PROTOCOL

Do NOT enter trades in the first 15–20 minutes after NY open (15:30 SAST). Wait for the opening range to develop. Clarity typically emerges 15–30 minutes post-open. The opening drive often creates false setups. The model entry window begins at approximately 15:50–16:00 SAST.

Model 1: Trend Following (Imbalance)

ACTIVATE IN IMBALANCED MARKETS ONLY

This model profits from directional price discovery — when the market is moving to a new value area and rejecting the old one. The goal is to ride the institutional aggression to the next established level.

Setup Conditions

- Price opened **outside** prior day's value area, or gapped beyond it
- Prior day closed near its high (bullish) or low (bearish)
- Volume profile is elongated or b/p-shaped (not D-shaped)
- CVD is trending in one direction since session open
- Multiple LVNs visible above (long) or below (short) current price

Step-by-Step Long Entry (Trend)

1

Mark the Prior Day's POC and LVNs

Identify the POC and the first LVN above price. This is your initial profit target. Mark the prior day VAH as your secondary target.

2. **Wait for a Pullback to a HVN or known support level**

   After the initial impulse move, price will retrace. Wait for it to pull back to a high-volume node or structural level. Do not chase the initial move.

3. **Monitor Order Flow at Pullback Level**

   Watch for: large buy orders (≥30 NQ contracts) hitting the level, CVD holding or rebounding, sellers showing no follow-through (absorption of sell pressure). If sellers can't push price lower — buyers are defending.

4. **Enter on Aggression Confirmation**

   Enter when you see a burst of aggressive buy orders resuming the move. Place stop **1–2 ticks below** the aggression candle low (not below the prior swing low — that's where everyone else places it).

5. **Take Full Profit at Target LVN / Prior POC**

   Fabio's rule: **close the ENTIRE position at the first target**. Reason: 70% chance of reversal at these levels. The extra 30% potential upside does not justify risking the banked gain.

Short Entry (Trend)

Mirror of the long setup. Key condition: price opened below prior VAL, CVD trending down, LVNs below acting as magnets. Wait for a bounce to a HVN, observe selling aggression resuming, enter short with stop 1–2 ticks above the aggression candle high.

> ✅ **VALID MODEL 1 SETUP**
>
> - Clear gap open or strong directional open
> - CVD confirming direction from open
> - Clean LVN visible ahead as target
> - Retracement back to known HVN support
> - Large order aggression at retracement level
> - Risk:Reward minimum 1:3

❌ INVALIDATION CONDITIONS

- Price failed to hold outside prior value area
- CVD diverging against trade direction
- Absorption appearing at entry level
- Setup broke down in first 5 min post-entry
- Market compressing into consolidation
- R:R below 1:2.5

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07 — EXECUTION MODEL

Model 2: Mean Reversion (Balance)

ACTIVATE IN BALANCED / EQUILIBRIUM MARKETS

This model profits from the market's tendency to return to its centre of value (POC/VWAP) after testing range extremes. It requires patience, precise location, and strong Order Flow confirmation that the extreme is being rejected.

Setup Conditions

- Price opened **inside** prior day's value area
- Prior day formed a balanced D-shaped profile

- Current session developing a normal/balanced distribution
- CVD oscillating (not trending) — buyers and sellers balancing
- Price is extended to the VAH (short setup) or VAL (long setup)

Step-by-Step Long Entry (Mean Reversion)

1. ### Wait for Price to Test the Lower Extreme (VAL or LVN below POC)

   Do not enter on the first touch. The first probe of an extreme is often a false break attempt. Let price establish that the extreme is being rejected.

2. ### Watch for Seller Failure at the Extreme

   Key signals: sellers are aggressive but CVD stops falling → absorption. Footprint shows large buy orders absorbing the sell pressure. Price stalls or makes a micro-bounce at the VAL.

3. ### Wait for the Second Wave / Retest

   Often there is a false break below the VAL. Wait for the second leg where sellers fail *again*. This double-failure pattern is your highest-probability entry signal.

4. ### Enter on Buyer Aggression

   When you see large buy orders re-entering and CVD turning upward, enter long. Stop goes **1–2 ticks below** the extreme low — NOT below the "obvious" support that everyone sees. Entering before the common stop levels reduces slippage risk.

5. ### Target: POC of the Developing Session or Prior Day POC

   Your target is the magnetic centre of the value area — not the opposite extreme. This gives you a realistic 1:2 to 1:4 risk/reward while keeping a high win rate.

CRITICAL MEAN REVERSION TRAP

Do NOT place stops directly above/below the extreme (e.g., above the high of a pin bar). This is where everyone places them and where price accelerates through. Instead, place the stop 1–2 ticks *beyond* where the aggression candle started — tighter, but based on actual invalidation of the order flow thesis.

08 — EXECUTION

Entry Mechanics & Timing Rules

Multi-Timeframe Framework

TIMEFRAME	PURPOSE	WHAT YOU READ
1H / 4H	Market Context	Overall auction location, weekly levels, major value areas
15 min	Bias Formation	Session structure, developing profile, trend vs balance determination
5 min	Setup Identification	Entry zone identification, LVN / HVN proximity, CVD direction
3 min / 1 min	Execution Precision	Footprint analysis, order size filtering, aggression trigger timing
15 sec / tick	Order Placement	Exact entry tick, stop placement, real-time delta confirmation

Entry Filter: The 5 Questions

Before clicking buy or sell, answer all 5:

1. **Is the market state confirmed?** (balance vs imbalance — determines model)

2. **Am I at a valid location?** (LVN, VAH/VAL, POC — not in the middle of nowhere)
3. **Is the CVD supporting the trade direction?** (not diverging against me)
4. **Have I seen the aggression trigger?** (large orders ≥30 NQ contracts at my level)
5. **Is R:R ≥ 1:3?** (if not, skip the trade)

Stop Loss Placement Philosophy

Fabio's stop placement is one of the most important distinctions in his method. **Never place stops at "obvious" levels (above highs, below lows of prior candles)** — these are where algorithms hunt. Instead:

- **Trend Model:** Stop 1–2 ticks beyond the aggression candle that triggered entry
- **Reversion Model:** Stop 1–2 ticks beyond the extreme being tested
- **Never widen stops** — if the thesis is wrong, get out. Inexperienced traders widen stops; professionals cut losses immediately.

Exit Rules

PLANNED EXIT (TARGET HIT)

- Close 100% of position at first target (LVN / POC)
- Do not scale out or hold runners
- 70% probability of reversal at target = full exit
- Re-enter only if a new setup forms

DEFENSIVE EXIT (THESIS BROKEN)

- CVD reverses strongly against position
- Large opposing orders appear at your entry level
- Price consolidating instead of moving (compression)
- Exit immediately — do not "give it time"

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09 — RISK MANAGEMENT

Capital Protection Protocol

FABIO'S RISK PHILOSOPHY

"Protection of capital must be the priority. A profitable trader is not defined by win rate alone, but by the ratio of average win to average loss. Small, consistent losses are acceptable. Large losses from refusing to exit are not."

Position Sizing

ACCOUNT SIZE	RISK PER TRADE	MAX DAILY LOSS	MAX DRAWDOWN
Evaluation (Prop)	0.25%–0.5%	1.0%–1.5%	3%–5%
Funded Account	0.5%–1.0%	2%–3%	5%–8%
Personal Capital	1%–2%	3%–4%	10%–15%

Daily Rules

STOP TRADING IF:

- Max daily loss hit
- 3 consecutive stop-outs
- Market enters no-trade condition (pre-news, macro event)
- You feel emotional / frustrated

REDUCE SIZE IF:

- 2 consecutive losses
- Unusual market volatility
- Approaching weekly drawdown limit
- Setup quality is below A+

TRADE FULL SIZE WHEN:

- All 5 entry questions answered YES
- Session is confirmed primary window
- Market state clearly identified
- No major news within 30 minutes

Profit Factor Target

Fabio targets a **Profit Factor of 1.5–2.5**, not a high win rate. A 50–60% win rate with 1:3 R:R produces exceptional returns. The scalping model benefits from high trade frequency — monthly sample size of 80–120+ trades smooths out losing streaks and exposes the statistical edge clearly.

```
// Expected Value Formula Win_Rate = 0.55 // 55% win rate Avg_Win
= 3.0R // average winner = 3× risk Avg_Loss = 1.0R // average
loser = 1× risk EV per trade = (0.55 × 3.0) - (0.45 × 1.0) = 1.65
- 0.45 = +1.20R per trade // positive expectancy // At 100
trades/month: Monthly_EV = 100 × 1.20R = +120R per month
```

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10 — AUTOMATION BLUEPRINT

Coding the Strategy for MT5 / cTrader

The Valentini system can be automated with the following architecture. Due to the reliance on real-time Order Flow (footprint + CVD), a hybrid approach is recommended: **the EA handles location, structure, and risk; the trader confirms the aggression trigger** (semi-automated). A fully automated version requires a footprint data feed.

System Architecture

MODULE 1 Session Filter →	MODULE 2 Market State →	MODULE 3 Location Engine →

MODULE 4 OF Trigger →	MODULE 5 Risk & Exit

Module 1 — Session Filter (MQL5)

```
// Session Time Windows (UTC+2 SAST) input bool UseNYSession = true; // 15:30-21:00 input bool UseLondonSession = true; // 10:00-15:30 input int NYOpenHour = 15; input int NYOpenMin = 50; // Skip first 20 min post-open input int NYCloseHour = 21; input int LondonOpenHour = 10; input int LondonCloseHour = 15; input int LondonCloseMin = 30; bool IsInTradingSession() { datetime now = TimeCurrent(); MqlDateTime dt; TimeToStruct(now, dt); int h = dt.hour, m = dt.min; int totalMin = h * 60 + m; if(UseNYSession) { int nyStart = NYOpenHour * 60 + NYOpenMin; // 15:50 int nyEnd = NYCloseHour * 60; // 21:00 if(totalMin ⩾ nyStart && totalMin < nyEnd) return true; } if(UseLondonSession) { int lStart = LondonOpenHour * 60; int lEnd = LondonCloseHour * 60 + LondonCloseMin; if(totalMin ⩾ lStart && totalMin < lEnd) return true; } return false; }
```

Module 2 — Market State Detection (MQL5)

```
// Simplified state detection via ATR ratio and range position // Full implementation requires volume profile data (Sierra Chart / Bookmap export) enum MARKET_STATE { STATE_BALANCED, STATE_IMBALANCED, STATE_UNKNOWN }; MARKET_STATE DetectMarketState() { // Method 1: ATR Expansion ratio double atr5 = iATR(_Symbol, PERIOD_H1, 5, 0); double atr20 = iATR(_Symbol, PERIOD_H1, 20, 0); double ratio = atr5 / atr20; // Method 2: Prior day close relative to mid-range double pdHigh = iHigh(_Symbol, PERIOD_D1, 1); double pdLow = iLow(_Symbol, PERIOD_D1, 1); double pdClose= iClose(_Symbol, PERIOD_D1, 1); double pdMid = (pdHigh + pdLow) / 2.0; double closeFromMid = MathAbs(pdClose - pdMid) / (pdHigh - pdLow); // Imbalanced: ATR expanding AND close near extreme if(ratio > 1.3 && closeFromMid > 0.3) return STATE_IMBALANCED; // Balanced: ATR contracting AND close near mid if(ratio < 0.9 && closeFromMid < 0.2) return STATE_BALANCED; return STATE_UNKNOWN; // No trade — unclear state }
```

Module 3 — Volume Profile Location (Simplified)

```
// Volume Profile must be imported from Sierra Chart or computed via tick data // In MT5 native, approximate with price distribution over fixed lookback // For full automation, use MT5 + Sierra Chart bridge or Bookmap API struct VolumeLevel { double price; long volume; bool isLVN; // Low Volume Node flag bool isHVN; // High Volume Node flag bool isPOC; // Point of Control flag }; // Key levels to mark daily (manual or imported): input double PriorDayPOC = 0.0; // Set manually each session input double PriorDayVAH = 0.0; input double PriorDayVAL = 0.0; input double LVN1 = 0.0; input double LVN2 = 0.0;
```

Module 4 — Risk Management Engine

```
input double RiskPercent = 0.5; // 0.5% per trade input double MaxDailyLossPct = 1.5; // Kill switch at 1.5% daily loss input double TargetRR = 3.0; // Minimum 1:3 R:R required input int MaxConsecLosses = 3; // Stop after 3 consecutive losses input bool CloseAtSessionEnd = true; // Mandatory close at NY session end double CalcLotSize(double stopDistPoints) { double accountBal = AccountInfoDouble(ACCOUNT_BALANCE); double riskAmount = accountBal * (RiskPercent / 100.0); double tickValue = SymbolInfoDouble(_Symbol, SYMBOL_TRADE_TICK_VALUE); double tickSize = SymbolInfoDouble(_Symbol, SYMBOL_TRADE_TICK_SIZE); double pointValue = tickValue / tickSize; double lots = riskAmount / (stopDistPoints * pointValue); lots = MathMax(SymbolInfoDouble(_Symbol, SYMBOL_VOLUME_MIN), MathMin(SymbolInfoDouble(_Symbol, SYMBOL_VOLUME_MAX), NormalizeDouble(lots, 2))); return lots; } // Mandatory session close — call in OnTimer() every minute void EnforceSessionClose() { if(!CloseAtSessionEnd) return; MqlDateTime dt; TimeToStruct(TimeCurrent(), dt); if(dt.hour == 21 && dt.min >= 0) { // Close all open positions for(int i = PositionsTotal()-1; i >= 0; i--) { ulong ticket = PositionGetTicket(i); if(PositionGetString(POSITION_SYMBOL) == _Symbol) trade.PositionClose(ticket); } } }
```

Required Tools for Full Implementation

TOOL	PURPOSE	COST
Sierra Chart	Volume profile, footprint charts, CVD	~$30/month
Bookmap	Real-time order flow / heatmap	~$60/month
MT5 + ATAS	Footprint charts inside MT5 environment	~$50/month
MT5 Native	Session filter, risk management, position execution	Free
TradeZella / Edgewonk	Trade journaling, performance analytics	~$20/month

AUTOMATION STRATEGY

The most practical approach for MT5 automation: code the **session filter + risk management + position sizing + stop placement + mandatory close** in MQL5. Keep the **Order Flow aggression trigger as a manual confirmation** using ATAS or Sierra Chart alongside MT5. This is a semi-automated approach that preserves the highest-probability component (OF confirmation) while automating all repeatable mechanics.

11 — PSYCHOLOGY & EDGE DECAY

Mindset, Sustainability & Model Longevity

Psychological Rules

1. ### No Revenge Trading

   After a stop-out, the emotional impulse is to immediately re-enter to "get it back." This is the fastest path to blowing an account. Fabio: "Follow what the market tells you, not what you want it to do."

2. ### No Bias Trading

   Do not carry a directional bias into a session because of macro views or yesterday's move. Read the current session's Order Flow fresh. Bias leads to forcing trades in the wrong direction.

3. ### Trading Requires Full Attention

   This is not a passive strategy. You must be present during the session to manage active positions and adjust stops. If you cannot give the session full attention — do not trade that session.

4. ### Consecutive Stop-Loss Protocol

   After 3 consecutive losses, Fabio stops trading for the day. Multiple losses in a row indicate either: (a) your model is misidentifying market state, or (b) the market is in an unusual condition. Both cases require stepping away and reviewing.

Edge Decay — Why Models Stop Working

Fabio dedicates significant time to this: **edge decay is real and every model eventually degrades**. Causes:

- **Volatility Regime Change:** 2023–2024 saw volatility characteristics shift. Models built on pre-2023 data had reduced effectiveness.
- **Market Structure Change:** New algorithmic participants change how price reacts at previously-reliable levels.
- **Crowded Strategy:** If a strategy becomes widely known, the edge shrinks as everyone enters at the same levels.

The solution: **understand the "why" behind the model deeply enough to adapt it**. If you only know the rules without the underlying market mechanics, you cannot adapt when conditions change. This is why AMT fundamentals matter more than the specific rules.

Improving Your Model

Fabio's recommendation: do not constantly look for new strategies. Instead, take a profitable model and improve it by 5–10% through Order Flow overlay. Adding CVD and footprint to a working price action strategy is often sufficient to meaningfully raise win rate and reduce average loss.

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12 — PRE-TRADE CHECKLIST

Daily Trading Protocol

Pre-Session Preparation (30 min before open)

- ☐ Mark Prior Day POC, VAH, VAL on chart
- ☐ Identify LVNs above and below current price
- ☐ Check economic calendar — avoid trading 15 min before/after high-impact news
- ☐ Note prior day close relative to value area (above = bullish bias / below = bearish bias)
- ☐ Classify likely market state (balanced vs imbalanced) based on prior day profile shape
- ☐ Set daily max loss alert on trading platform
- ☐ Confirm footprint / CVD platform is live and feeding
- ☐ Set session close timer (21:00 SAST for NY / 15:30 for London)

Per-Trade Checklist

- ☐ Currently within valid session window?

- ☐ Market state confirmed (balanced/imbalanced)?
- ☐ At a valid volume profile level (LVN/HVN/VAH/VAL/POC)?
- ☐ CVD supporting trade direction (not diverging)?
- ☐ Aggression trigger seen (≥30 NQ contracts or equivalent at level)?
- ☐ R:R ≥ 1:3 confirmed (target at next LVN or POC)?
- ☐ Stop placed correctly (not at obvious swing high/low)?
- ☐ No active macro news within 30 minutes?
- ☐ Not currently on 2+ consecutive losses?
- ☐ Daily loss limit not breached?

Post-Trade Journal Entry (Required)

- ☐ Screenshot of entry + exit with Order Flow visible
- ☐ Market state at entry: balanced / imbalanced / unclear
- ☐ Model used: Model 1 (Trend) / Model 2 (Mean Reversion)
- ☐ All 5 entry questions answered at time of entry: YES / NO
- ☐ Actual R:R achieved vs. planned
- ☐ Notes: what the Order Flow showed, what surprised you, what to refine

FINAL PRINCIPLE

The market does not owe you a trade. Your job is to show up prepared, read the current auction context, and execute only when all conditions align. On days when they don't align — not trading *is* the trade. Capital protection over forced participation.

Market Auction Theory | Order Flow | Footprint Charts | Volume Profile | NASDAQ Futures | NY Session | London Session | CVD Analysis | Scalping | MQL5 | MT5 Automation | Prop Firm Ready

Extracted from ChartFanatics × Fabio Valentini — "Trading LIVE with the #1 Scalper in the WORLD" | Strategy Guide compiled for automation reference | April 2026